

killing of Canadian citizen Hardeep Singh Nijjar, who was the Khalistan Tiger Force (KTF) chief and a designated terrorist in India. While India has strongly denied the allegation, a full-blown diplomatic war has flared up between the two nations.

The chill in relations was evident even before the G20 Leaders' Summit in New Delhi on September 9 and 10 that was also attended by Trudeau. Prior to his visit, Canadian government officials had said trade negotiations between the two countries had been paused. This was later confirmed by a top Indian commerce ministry official, who had said that talks for an early harvest scheme (under the trade agreement) have been paused due to "certain political developments".

The India-Canada Comprehensive Economic Partnership Agreement (CEPA) negotiations were formally re-launched in March 2022 and the two countries had been keen on completing the negotiations by 2023-end. In fact, nine rounds of talks had already taken place till July 2023, and negotiations on topics like goods, trade remedies and rules of origin were underway.

This is, however, not the first time that the negotiations have broken down. The CEPA talks had been initiated under the Manmohan Singh-led government in 2010, but were abandoned in 2017 due to diverging viewpoints. Despite that, business and trade ties have flourished in their natural course.

India has been a key destination for Canadian investments from entities such as the Canadian Pension Plan Investment Board and asset management firm Brookfield in sectors ranging from infrastructure to start-ups. According to Invest India, Canada is the 18th largest foreign investor in India with a cumulative investment of \$3.3 billion between April 2000 and March 2023, representing 0.5 per cent of

LEARNING PANGS



► **More than 807,750 international students hold valid visas for studying in Canada; 319,130 of them are Indians. It is the second most popular place to study abroad for Indians after the US. But the recent events have left students worried.**

"I was hoping to get a job and settle down here, but I'm not sure it'll be possible now," says a 26-year-old pursuing his MBA in Quebec. Students planning to study in Canada are unsure as well. "We are stopping all new applications to Canada until there is more clarity," says Akshay Chaturvedi, Founder and CEO of edtech Leverage Edu.

Industry insiders stress that worsening diplomatic ties would be harmful for both the countries. "Although Indians study in Canada, a majority of them also work there and add value to its economy," says Gaurav Batra, Founder of Infinite Group, an edtech consultancy. BT

—Aakanksha Chaturvedi

the total FDI inflows into India.

India was also Canada's ninth largest trading partner in 2022, with bilateral trade between them touching \$8.16 billion in FY23. Between April and July 2023, India's exports to Canada stood at \$1.24 billion, while imports amounted to \$1.32 billion. Top exports from India to Canada include pharmaceuticals, iron and steel products, and telecom instruments, while top imports include coal, fertilisers and pulses.

Over 600 Canadian firms are present in India and more than 1,000 companies are actively pursuing business in the Indian market. The two countries have also been working on co-operation in sectors such as mining of critical metals, education and skilled labour. Canada also has a large Indian diaspora, with close to 1.6 million Persons of Indian Origin and 700,000 non-resident Indians calling it home.

India also imports *masoor dal* (red lentil) from Canada. With retail inflation in pulses remaining in double digits in the country, India may have to continue relying on imports from Canada to ease domestic supplies. Retail inflation in pulses was at 13.04 per cent in August.

For now, it seems to be business as usual between the two countries in terms of trade, despite developments like the suspension of visa services for Canadians by India, and travel advisories put out by both nations. The Competition Commission of India on September 20 approved some investments by Canadian entities, including the proposed acquisition of additional unit holding in Highways Infrastructure Trust and equity stake in Highway Concessions One Private Limited by 2452991 Ontario Limited and 2743298 Ontario Limited, respectively; both are controlled by the Ontario Teachers' Pension Plan Board.

There is also optimism that India's trade talks with other coun-